

SECTION A – CASE QUESTIONS (TOTAL: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

CASE

Jeng Grocery ("Jeng") was set up in Hong Kong last year. It sells grocery items through its online mobile application and physical kiosks. Jeng is owned by a few shareholders, including certain private equity funds, and has a small management team. This team is comprised of the Chief Executive Officer, Chief Finance Officer and other senior management personnel who are responsible for all sales, marketing, accounting, finance and administrative matters. Several senior management personnel are the related parties of Jeng. Jeng's shareholders have set aggressive sales targets in the first five years. To meet these targets, Jeng has implemented an incentive program where senior management personnel may receive a discretionary bonus depending on Jeng's sales achieved.

Jeng sells its own purchased goods and consignment goods for various local and overseas brands. It faces severe competition in the industry because several competing large grocery stores have been dominant in the market for a considerable amount of time. However, Jeng offers a wide range of goods and an online sales platform, which may make it better suited than competitors to meet the needs of young couples. After only a year of operation, Jeng has become one of the top 10 grocery retailers in Hong Kong and has approximately 1 million registered members. Jeng has now set up more than 50 self-service kiosks in Hong Kong which cover all major residential areas.

Nevertheless, due to incurring significant start-up costs, Jeng is still loss-making. Management expects Jeng to become profitable when it attains a larger market share and membership numbers. To ensure healthy growth, management is currently looking for new investors to inject capital into Jeng.

Below is an extract of the segmental financial information that management has prepared for Jeng's potential investors:

	Sale of Goods HK\$'000	Consignment Sales HK\$'000	2024 Total HK\$'000
Revenue	300,000	85,000	385,000
Less: Cost of sales	(150,000)	-	(150,000)
Less: Selling and distribution expenses	<u>(100,000)</u>	<u>(45,000)</u>	<u>(145,000)</u>
	50,000	40,000	90,000
Less: Administrative expense			(85,000)
Less: Other expenses			<u>(55,000)</u>
Loss for the period			<u><u>(50,000)</u></u>

Jeng's revenue for each segment is further analysed below:

- (a) Sale of goods – This represents the sales of Jeng's own goods purchased from external suppliers. The model used by Jeng is a traditional sales model where Jeng owns its inventories. Jeng also has a membership program where registered members are entitled to a 5% discount and a 7-day full refund and return for this type of sales goods. Non-members are not entitled to any discount or refund of goods.
- (b) Consignment sales – This represents the commission income earned from its principals where Jeng acts as an agent. Jeng is engaged as the agent selling the goods on behalf of the principals. All shipping costs are borne by the principals, and Jeng is responsible for listing the items on its online platform or placing them in kiosks. Jeng is also responsible for the collection of the sales receipts from customers. When successful sales of consignment goods are made, Jeng retains 10% of the gross sales amount as commission income. Jeng is not required to bear any inventory risk for this type of sales. Consignment sales do not offer any discount, goods return, or refunds.

The common steps in Jeng's revenue and receipt cycle include:

Sales of goods

Online sales:

1. Only registered members are entitled to order goods online. Each member is required to register and log in on Jeng's mobile application with a username and a 6-digit password. The cycle begins with the receipt of a purchase order (PO) from Jeng's registered members. The sales orders are pre-numbered, describe the item, price, and delivery terms, and provide authorised billing and delivery addresses.
2. All online sales are prepaid. Purchases must be made using electronic payment methods, such as with a credit card. All electronic payments are controlled by the external vendor or card issuer. After a received payment is reconciled with the invoice amount for each transaction, the approved transaction is sent to Jeng to confirm successful payment.
3. When payment is confirmed, a delivery note listing the items to be delivered and showing the customer's details is generated from the sales orders and forwarded to the warehouse. After packing, a completed packing list is forwarded to the billing department.
4. Delivery usually takes one to two days. Invoices are prepared when goods are delivered, and invoice items, quantities, and prices are matched with the sales orders and delivery notes.

Kiosk sales:

1. The cycle begins with a customer purchasing goods at one of Jeng's kiosks. Customers can be Jeng's registered members or non-members. Members are required to scan their membership QR codes at the check-out machines for verification.
2. Upon checking out, customers scan the goods at the self-checkout machines.
3. Invoices are prepared when payments are made by customers. Only electronic payment methods are accepted (e.g., using a credit card or mobile payment). After approved payments are confirmed and reconciled with the billing amounts, self-checkout machines print the receipts.

Consignment sales (online and sales at kiosks)

1. The system can identify which items are on consignment, regardless of whether they are online sales or kiosk sales. The first few steps of the revenue and payment cycles for consignment sales are the same as for normal sales transactions.
2. For consignment sales, the accounting team will post a manual accounting entry to offset the revenue amount by 90% and record a net 10% of the gross amount as the commission income each month. 90% of the revenue is payable to the principals.

Jeng has invested significantly in its information technology system to support the fully automated sales and payment cycle and the point of sale (POS) application for recording transactions in its kiosks.

To assist potential investors in analysing the performance of Jeng, the company has engaged a CPA firm to audit its first set of historical financial statements for the year ended 30 June 2024 for the purpose of new investors' due diligence. You are the audit manager of this audit engagement.

Question 1 (12 marks – approximately 22 minutes)

- (a) Identify Jeng's external and internal factors which increase its risk of fraud. Explain your answers. (6 marks)
- (b) The audit team has determined that revenue is impacted by fraud risks. Based on your assessment in Question 1(a) above, identify which related assertions of revenue are impacted. Explain how these assertions are impacted. (6 marks)

Question 2 (14 marks – approximately 24 minutes)

Jeng has implemented a fully automated application which records each sale and customer payment transaction from both its online platform and kiosks. All retail prices are set by the system and all discounts are automatically calculated upon successful log in by members. Each sale item is assigned a unique bar code, and the price is linked to the data centre. Purchased goods and consignment goods are coded with different prefixes. Each self-checkout machine at kiosks is equipped with CCTV.

No cashier counter is required to process any check-out for its customers at the kiosks. The audit team has evaluated this application and concluded that the respective general controls are effective. As application controls are fully automated, which is particular to this application, they have a direct impact on the processing of individual transactions. The audit team is going to identify and test the effectiveness of the application controls.

Required:

Based on the case background and the additional information as set out above,

- (a) Identify the application controls established in Jeng's revenue and receipt cycle for its online and kiosks sales, covering both the sales of Jeng's own goods and the consignment sales. (5 marks)
- (b) Design your audit procedures to test the application controls implemented in Jeng's revenue and receipt cycle. (5 marks)
- (c) Advise the audit team on which criteria can be used to determine which kiosks from the total of more than 50 kiosks, should be used for testing the application controls. Explain your answers. (4 marks)

Question 3 (12 marks – approximately 22 minutes)

During the audit, the audit team asked the Chief Finance Officer (CFO) about the following specific account balances and obtained CFO's preliminary responses as set out below:

- (a) Provision for sales return (HK\$9 million) – *"This is a provision for sales returns that we made at the end of the year, as registered members are entitled to a 7-day sales return and refund period. Our estimation represented 3% of the gross sales amounts. However, as no members subsequently claimed any sales return from Jeng, we reversed the provision in the next month (falling in the next financial year)."*
(4 marks)
- (b) Management bonus (HK\$5 million) – *"Although Jeng is loss-making, the discretionary bonus is an incentive to motivate our senior management (including the CEO, myself and other officers) to meet their sales targets. This bonus is solely discretionary and Jeng is not contractually obliged to reward these officers."*
(4 marks)
- (c) Other expenses (HK\$55 million) – *"These represent the write-off of the renovation costs incurred for certain kiosks which were closed during the year."*
(4 marks)

Required:

Based on the background information of the case, apply professional skepticism and analyse the reasonableness of the CFO's responses. Design audit procedures to audit each of the above specific account balances.

(12 marks)

Question 4 (12 marks – approximately 22 minutes)

As set out in the case background, the sales of Jeng's own goods are recorded at "gross" amount and the consignment sales are recorded at "net" sales amount, which represented the commission income. To adjust the consignment sales from a "gross" to a "net" basis, each month the accounting team will post a manual journal entry to adjust the sales amount of the monthly consignment sales to the commission income. This manual journal entry is posted by the accounting team at each month's end directly to the general ledger upon closing the financial statements.

Below are the hypothetical entries (assuming a sales item of HK\$100 and therefore a net commission income of HK\$10):

Entry #1 (When goods are sold to customer)

Dr. Cash	HK\$100	
Cr. Revenue		HK\$100

Entry #2 (To adjust the gross revenue to a net commission)

Dr. Revenue	HK\$90	
Cr. Payable to principal		HK\$90

The resulting revenue of consignment sales therefore will record HK\$10 (i.e. "net" basis) instead of HK\$100 (i.e. "gross" basis) in the revenue account.

During the audit, the audit team obtained the list of these manual journal entries and noted that 12 manual entries relating to the "gross" vs "net" on consignment sales were posted at each month-end. However, the audit team also found that, in addition to these 12 manual entries, the accounting team posted 50 other journal entries, all of which were credited to the revenue account, and the amounts of some of these journal entries are significant.

Although the presentation of the consignment sales at gross amount does not have any impact on the net profit, it would still materially impact Jeng's financial statements if manual entry #2 is not properly posted. Further, through the posting of the 50 other manual entries which were credited to the revenue account, it may provide opportunities for management to overstate its revenue by recording inappropriate journal entries.

Required:

Prepare a memo to the audit partner suggesting audit procedures to test (i) the 12 manual entries on the consignment sales, and proposing any other work to ensure the consignment sales are presented at a "net" basis; and (ii) the 50 other manual entries which were credited to the revenue account. Explain your rationale in the memo.

Note: A maximum of 2 marks for communication skills and 2 marks for analytical skills will be awarded.
(12 marks)

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End of Section A

SECTION B – ESSAY / SHORT QUESTIONS (TOTAL: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

Question 5 (12 marks – approximately 22 minutes)

You are the audit partner at World CPA Limited and have secured the audit of BAQ Limited (the "Company"), a private entity. Your team is currently conducting the year-end audit for tax filing, with a deadline set for 15 August 2024.

Required:

During the audit process, the following situations have arisen. Evaluate the respective independence threats which may affect the objectivity of World CPA Limited. Advise on possible safeguards and the actions that World CPA Limited should take in each scenario below:

- (a) The Company's sole accountant, who is responsible for monthly bookkeeping, has unfortunately sustained an injury during a soccer game. Consequently, the accountant is on sick leave and is not expected to return to work until after the tax filing deadline. Before going on sick leave, the trial balance and audit period book were completed and approved by the Chief Financial Officer (CFO). Given the tight timeline, the CFO is requesting your team's assistance in preparing the financial statements using the approved books and records.

(4 marks)
- (b) Due to the business expansion and the increasing workload of the Finance department, the CFO invited a member of your audit team to join the Company as an accountant during the audit process. The audit team member accepted the offer and his on-boarding date will be after the completion of this year's audit.

(4 marks)
- (c) You are at the client office for the audit progress update meeting with other professional parties, where discussions are still underway to reach an agreement on the audit issues and findings prior to the issuance of the financial statements. Following the meeting, in a gesture of courtesy, the CFO only invites your team to a luxury restaurant for a thank-you dinner.

(4 marks)

Question 6 (7 marks – approximately 12 minutes)

You are an auditor conducting an audit on the financial statements of Farma Corporation ("Farma"), for the year ended 31 December 2023. Farma's primary business involves owning and operating an "Amusement Park", which boasts a variety of attractions.

Required:

During the audit, you have identified issues that may impact the true and fair view of Farma's financial statements. Advise and explain the appropriate auditor's opinion for each of the scenarios below. The audit materiality level applied for this year's audit is HK\$5 million.

- (a) Farma owns property, plant and equipment ("PPE") which were accounted as the material component of its statement of financial position. In recent years, Farma has faced challenges due to intense competition and the impact of the pandemic, which significantly affected its business performance. Currently, there is a positive trend of gradual recovery as the post-pandemic situation continues to improve. An impairment loss on these assets was recorded during the pandemic years. As of 31 December 2023, the balance of PPE was HK\$75 million, which included a reversal of impairment amounting to HK\$25 million. However, Farma was unable to explain and provide evidence to support whether certain assumptions used for the impairment assessment for the PPE are appropriate.

(4 marks)

- (b) At the beginning of the financial year, Farma purchased a large quantity of bond securities which are accounted for as financial assets at fair value through profit or loss. The directors recorded them at cost at HK\$30 million, under the assumption that the fair value should be approximately equal to the cost, given the recency of the transaction. However, the Hong Kong Monetary Authority has sharply increased the Base Interest Rate for the year. The estimated fair value of the bond securities as at 31 December 2023 is approximately HK\$15 million.

(3 marks)

Question 7 (23 marks – approximately 42 minutes)

You are the Audit Manager at a meeting with the Chief Finance Officer (CFO) of LaFa Group ("the Group"), a global fast fashion retailer. The meeting is to understand the Group's business developments and future plans for the upcoming audit.

The Group is a global retailer in the fast fashion industry, operating over 1,000 stores worldwide. These stores are currently under lease agreements with landlords, ranging from 3 to 8 years. Due to the recent economic downturn, intensified competition, and shifting market trends, the Group has seen a decline in sales volume, and many stores are operating at a loss.

In response, a global mid-year sales promotion was launched to sell slow-moving goods at discounted prices to improve liquidity. However, the CFO expressed dissatisfaction with the campaign's outcome. Despite selling most of the slow-moving goods below cost during the promotion, the Group still has a significant amount of such goods. Additionally, there are concerns about reported stock losses detected during the Group's regular cycle counts.

Required:

- (a) (i) **Evaluate the risk of material misstatement in relation to the existence and valuation of the Group's inventories.**
(4 marks)
- (ii) **Propose audit procedures to address the above risk of material misstatements.**
(8 marks)
- (b) (i) **Evaluate the risk of material misstatement in relation to the valuation of the Group's right-of-use assets.**
(3 marks)
- (ii) **Propose audit procedures to address the above risk of material misstatements.**
(4 marks)
- (c) **In response to the challenges, the CFO plans to negotiate with landlords for a modification on the lease contracts of most stores before the year-end.**

Propose audit procedures to address the risk of material misstatements in relation to the lease modification.
(4 marks)

Question 8 (8 marks – approximately 14 minutes)

Fa's Spice Co. is a renowned family business based in the Sichuan province of the People's Republic of China. The company specialises in the production and sale of premium spicy sauces and condiments under its own brand. With a strong presence in the local market, Fa's Spice Co. has successfully expanded its operations to other provinces in mainland China.

Fa's Spice Co. is considering listing on the Hong Kong Stock Exchange to further expand its business and raise capital for future growth. As part of the listing process, the company needs to enhance its corporate governance practices, including the establishment of a nomination committee and a remuneration committee. However, the Li family, who own and manage the company, want to hire a relative, Davin, as the director of the company. Davin has just graduated from an overseas university with a bachelor's degree in marketing and lacks professional qualifications and experience. Currently, the board consists of two independent non-executive directors, Tom Wong and Kim Chan. They are independent from the company and have sufficient professional experience as Surveyor and Engineer, respectively.

Required:

- (a) Explain the roles and responsibilities of the nomination committee and the remuneration committee in the context of Fa's Spice Co.'s proposed listing on the Hong Kong Stock Exchange. (3 marks)
- (b) Discuss the potential challenges and relevant considerations regarding the proposed hiring of Davin. Provide recommendations on how Fa's Spice Co. can address these challenges while maintaining good corporate governance practices. (5 marks)

* * * END OF EXAMINATION PAPER * * *